



Weekly Market Note
October 2nd, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	-0.10%	13.30%
MSCI Asia Pacific	Equity	-0.66%	19.06%
MSCI Europe	Equity	-3.55%	8.12%
MSCI China	Equity	-4.39%	-11.92%
MSCI Emerging Markets	Equity	0.94%	25.30%
Bloomberg Barclays Global Aggregate Index	Fixed Income	-1.98%	-2.27%
Bloomberg Commodities Index	Commodities	2.09%	31.07%
HFRX Global	Hedge Fund	-0.09%	4.30%
HFRX Macro/CTA	Hedge Fund	1.69%	7.43%
HFRX Equity Hedge	Hedge Fund	-0.42%	7.43%

*Index data as of September 25, 2026

Global Markets & Economic Data:

Investors are thankful to turn the page on a disastrous Q3, which featured war, de-risking and global central bank rate hikes.

US: Non-Farm Payrolls missed massively to the downside and the Unemployment Rate ticked up to 4.2%. October JOLTS Job Openings contracted in August and has trended lower since April.

Switzerland/Europe/UK: Swiss KOF Leading Indicators index was well above expectations, registering its sixth consecutive monthly rise. German September Inflation hits 3.3% annualized, the highest levels since December 2023. UK home prices rose at the slowest pace since December 2025.

Japan/China: Japan's Tankan index hit 24 in Q3, the highest levels since Q1 2018. Chinese September Manufacturing PMI was stronger than forecast.

It is not easy out there

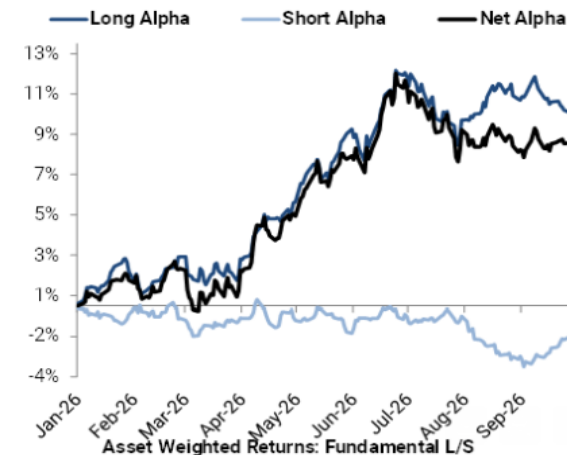


Chart Source(s): Goldman Sachs

- If one were to simply watch the price action in the S&P 500 index, the conclusion would be equities are resilient, as the index only drew down by an eye watering 1.5% intra-month in September, before bouncing back to finish around flat.
- Therefore, it makes sense that in such a backdrop the expectation is for Equity Long/Short strategies to quietly cultivate PNL. However, September and Q3 for that matter were nothing but subdued for Equity Long/Short strategies.
- Generating returns from fundamentally driven longs and shorts became quite difficult in recent weeks. Goldman Sachs estimates their global Equity Long/Short coverage universe is down 0.55% MTD with much of the adversity coming from the short side.
- Given the fluid macro backdrop, there is not one critical factor that can explain the struggles, leaving hedge fund investors perplexed by the weak returns experienced by some managers.
- Typically, these "fundamental dislocation" moments create a multi-quarter runway of positive PNL ahead, but the direct aftermath is the most frustrating.

Market Spotlight: More charts about Hedge Funds

Systematic equity strategies delivering steady gains

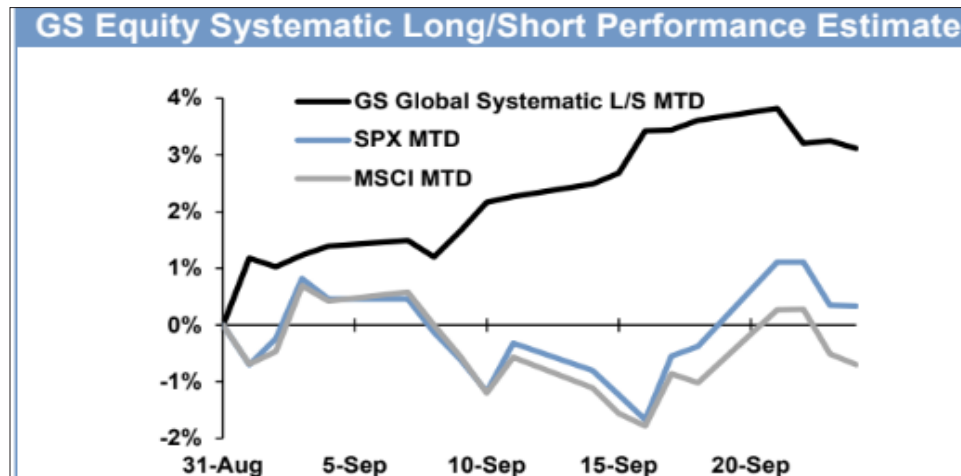
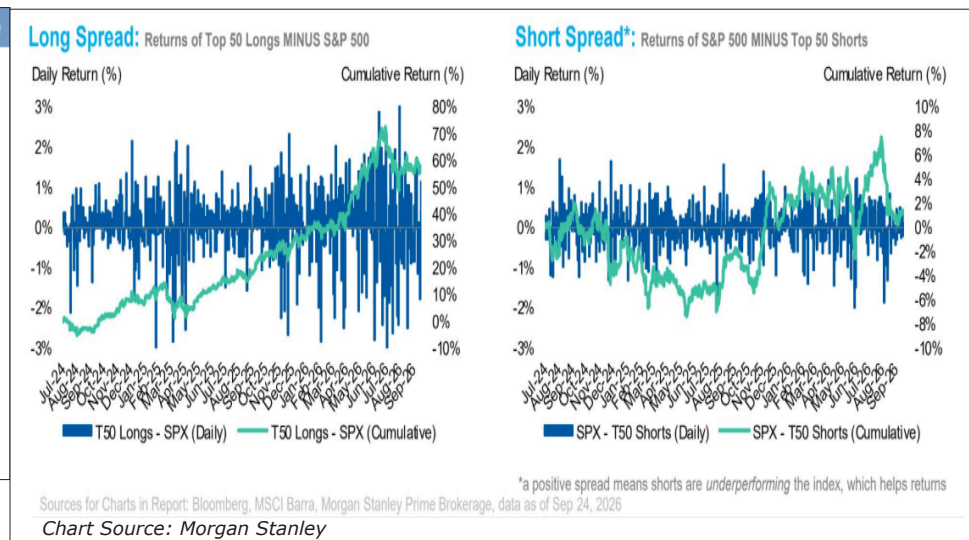


Chart Source: Goldman Sachs

Long and short alphas challenged



EQ L/S HFs lag the S&P 500

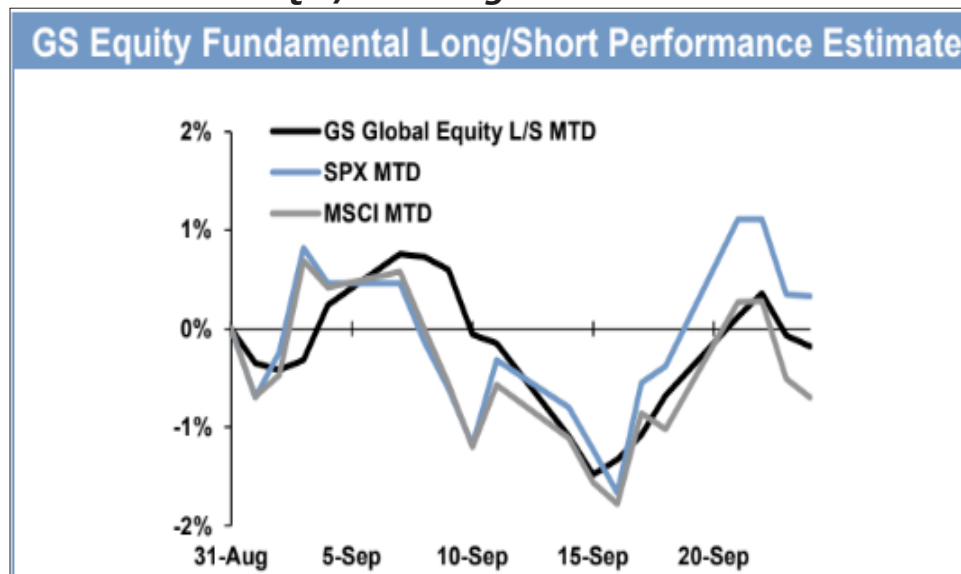
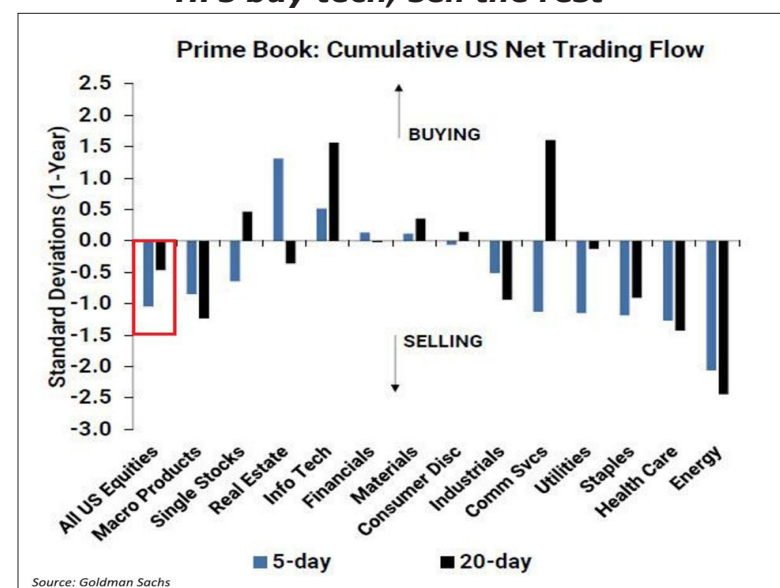


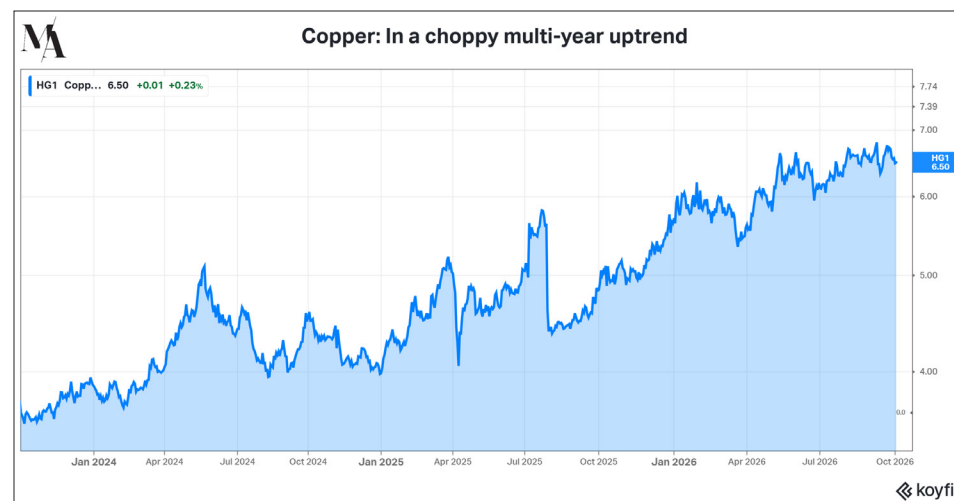
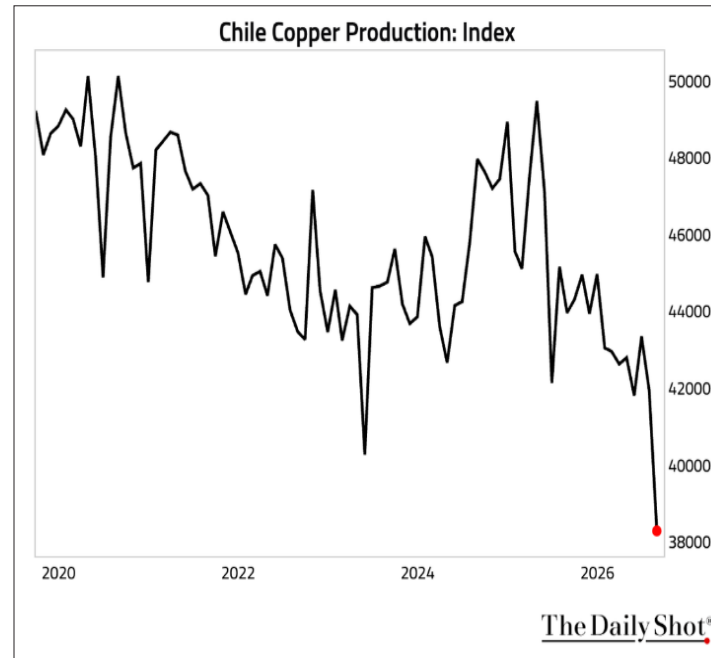
Chart Source: Goldman Sachs

HFs buy tech, sell the rest



Market Spotlight: Copper shines

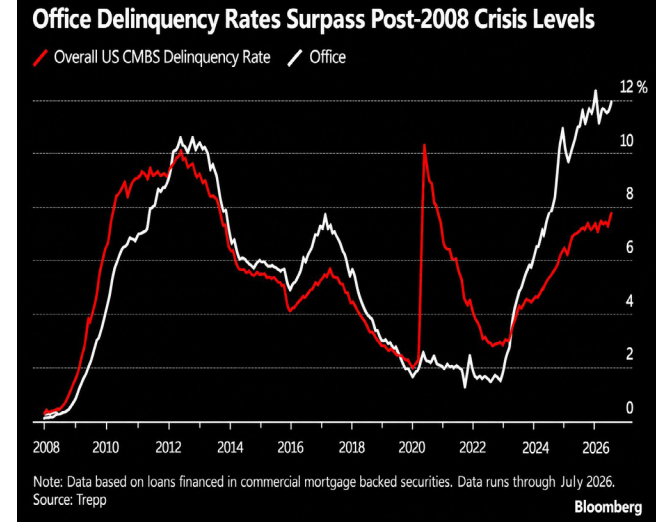
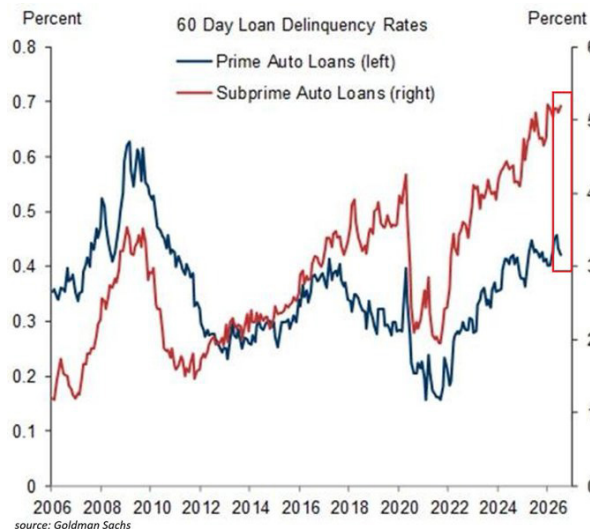
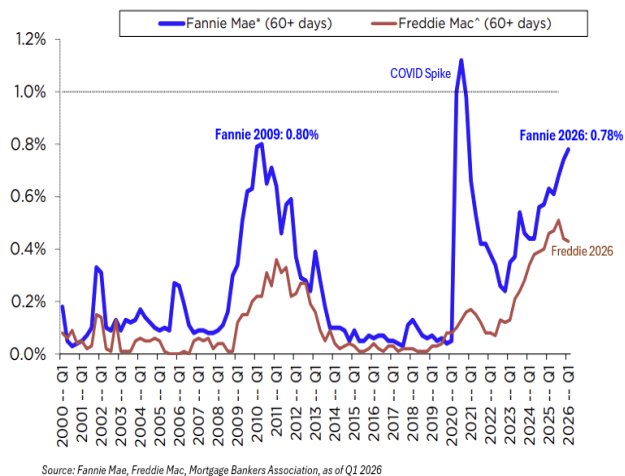
- Copper remains in a multi-year uptrend, although the move has been somewhat difficult for investors to monetize due to tariff noise and copper futures often getting caught-up in risk-on and risk off price action.
- The fundamentals clearly are there with global production waning and inventories depleting. Q2 2026 global copper production fell by 2.8% y/y driven by weather, labor and political/regulatory slowdowns.
- Chile, which accounts for 25% of global copper supply, is experiencing an acute production decrease and no major new Chilean copper mining projects are on the horizon.
- With copper serving as a major input for the "new economy" tech/industrial eco-system, the prospect of continued price rises can be a contributing factor to sticky inflationary pressures.



Market Spotlight: Cracks under the surface

- US consumer sentiment readings are plunging to fresh lows. Many economists classify the downbeat attitudes as a psychological aberration as GDP explodes and equity indices reach fresh all-time highs.
- However, tangible delinquency data across housing, offices and auto loans provide growing credibility for the wave of discontent sweeping the populace.
- Mortgage delinquencies have hit their highest level since 2009, signaling emerging stress in the apartment market
- Office CMBS delinquency rates have surpassed post-2008 financial crisis levels, reaching 12.0% in August (near January 2026's all-time high of 12.3%)
- Subprime auto loan 60+ day delinquencies have reached an all-time high of ~5.2%, more than double the level four years ago

Apartment Delinquencies surge back to 2009 Highs



The Botanical Truth About Berries

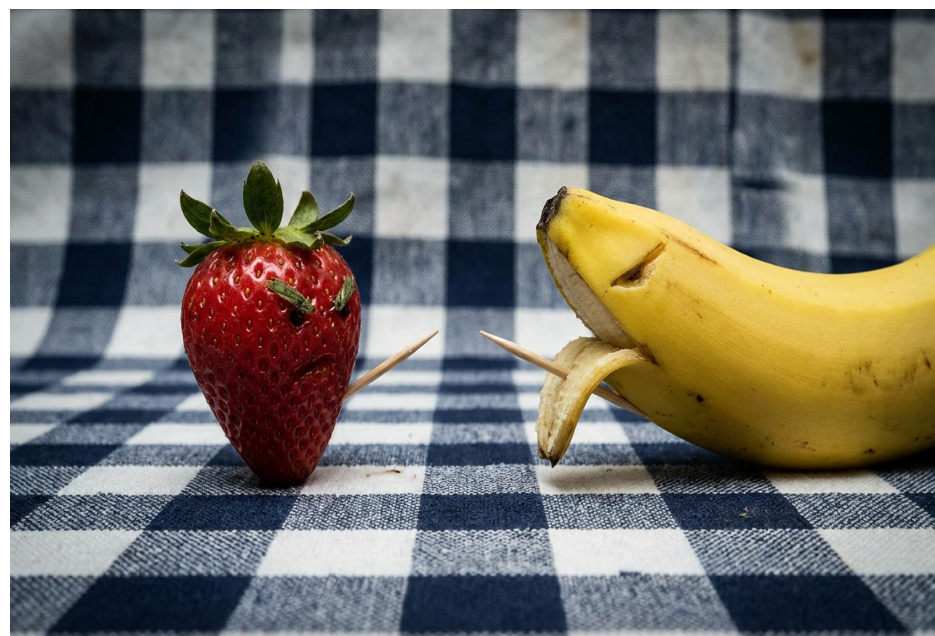
Most people assume strawberries are berries and bananas are something else entirely. In reality, it's the opposite, and the explanation lies in botanical science.

A true berry, botanically speaking, develops from a flower's single ovary and contains fleshy tissue surrounding multiple seeds distributed throughout. Bananas fit this definition perfectly. Their thick yellow skin protects soft flesh packed with tiny seeds, making them textbook berries despite what our intuition suggests.

Strawberries, however, are not berries at all. They're classified as "aggregate fruits," a fundamentally different structure. What appears to be seeds on a strawberry's surface, those tiny yellow specks called achenes, are actually individual fruits themselves. Each achene contains a single seed within it, meaning a strawberry is essentially a collection of hundreds of miniature fruits clustered together on a fleshy base.

This distinction matters in botanical classification. The strawberry's structure came from multiple carpels in the flower, creating its characteristic bumpy texture where countless tiny fruits aggregate together. Meanwhile, the banana's straightforward development from one ovary makes it botanically superior in berry credentials.

Understanding these differences reveals how nature's actual organization often contradicts common assumptions. Scientific naming exists precisely because superficial appearances can be deeply misleading.





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